21.04 Transfer of Ownership

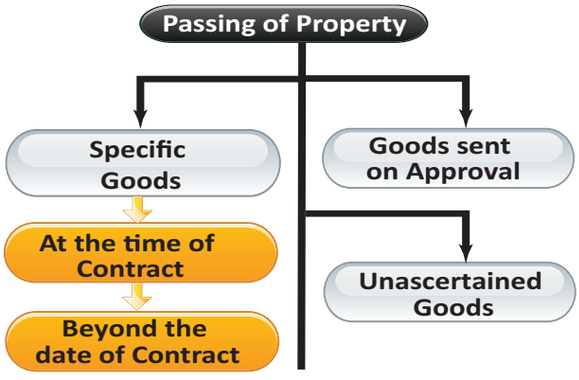


Transfer of property (ownership) in goods from the seller to the buyer is the main object of a contract of sale. The term property in goods must be distinguished from possession of goods. Property in goods means the ownership of goods while possession of goods refers to the custody of goods or control over the goods.

For eg. 'A' may possess a watch. Just because 'A' possesses the watch, he cannot be owner. He might have borrowed the watch from his friend or stolen the watch from somebody or found it on the highways. In this case, he cannot be called owner. It is important to know the precise movement of time at which the ownership in goods passes from seller to buyer.

Passing of Property

Transfer of title of a property is called as passing of property.



I. Specific Goods

(i) At the Time of Contract

Where there is an unconditional contract for the sale of specific goods in a deliverable state, ownership in the goods passes to the buyer when the contract is made. The time of payment of price or time of delivery of goods is immaterial in the matter of transferring the ownership of the goods.

eg. 'B' selects certain books in a bookshop. The price is settled. 'B' arranges to take delivery of books next day through his servant and agrees to pay for the books on the 1st of next month. The books were destroyed by fire in the same evening. In this case, 'B' has to bear the loss and pay for the books selected since the ownership has already passed on to 'B'.

(ii) Beyond the Date of Contract

(a). Goods not in a Deliverable condition

Where there is a contract for sale of specific goods not in a deliverable condition i.e. the seller has to do certain activities to bring the goods into deliverable condition like painting, quality checking, weighing etc., then the ownership does not pass till such activities bringing them into deliverable condition are completed. eg. There was a contract for a sale of machine weighing 30 tonnes and installed in a concrete floor. Some parts of the machine were damaged during the process of removal. In this case, buyer is entitled to refuse to buy the machine as it is not in a deliverable condition.

(b) When the Price of Goods is to be Ascertained by Weighing or Testing or Doing Something

Where there is a contract for the sale of specific goods in a deliverable condition, but the seller is yet to weigh, measure, test or do some other act or think with reference to the goods for the purpose of fixing the price, then the ownership in the goods passes to the buyer only after such activities are carried out and completed and the buyer has a knowledge of it.

eg. 'A' sold some quantity of wheat to 'B' at the rate of Rs. 10 per kg. However, 'A' had to weigh the wheat in order to know the price of the entire quantity of wheat sold to 'B'. In this case, the ownership of the wheat shall transfer to 'B' as soon as 'A' weighs the wheat 'B' comes

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